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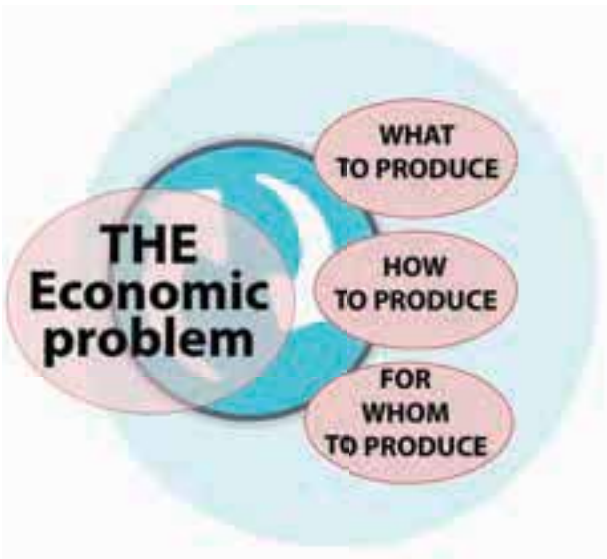
a. Whether to produce more of food, clothing and housing or to have more luxury goods
b. Whether to have more agricultural goods or to have industrial goods and services
c. Whether to use more resources in education and health or to use more resources in military services
d. Whether to have more consumption goods or to have investment goods
e. Whether to spend more on basic education or higher education



How to Produce?

Every society has to decide whether it will use labour-intensive technology on capital intensive technology; that is whether to use more labour and less more machines and vice versa.

For whom to produce?

Every society must also decide how its produce be distributed among the different sections of the society. It must also decide who gets more and who gets less. It should also decide whether or not a minimum amount of consumption be ensured for everyone in the society. Due to the scarcity of resources, a society faces the compulsion of making choice among alternatives. It faces the problem of allocating the scare resources to the production of different possible goods and services and of distributing the produced goods and services among individuals within the economy.

1.10 Production Possibility Curve

The problem of choice between relatively scarce commodities due to limited productive resources with the society can be illustrated with the help of a geometric device, is known as production possibility curve. Production possibility curve shows the menu of choice along which a society can choose to substitute one good for another, assuming a given state of technology and given total resources.

The explanation and analysis of production possibility curve is based upon certain assumptions, some of them are following

(i) The time period does not change. It remains the same throughout the curve.
(ii) Techniques of production are fixed.
(iii) There is full employment in the economy.
(iv) Only two goods can be produced from the given resources.